COURSE

Cambridge IGCSE Business (0450 / 0264)

Stock

4 Operations management · 4.1 Production of goods and services: inventory and lean production

Revision for 4 Operations management: each firm works it out on its own deals.

Class **Cambridge IGCSE Business (0450 / 0264)** Topic **Stock**

THE LESSON

Setup	3 min
Round 1	Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions · Deals · Topic task 1 · Topic task 2	
Round 2	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal	
Round 3	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal	
Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Cars wait in your yard.

Cost of holding the cars?

WORK OUT THE NUMBER · EXAMPLE FIGURES

You hold for them	**8 cars**
Holding cost per car a week	**£100**
Weeks you hold them	**4 weeks**

METHOD

Holding cost = cars × cost per car a week × weeks

8 × £100 × 4 = £3,200

Why: Stock that waits costs £800 every week.

Task 2

ROUND 1

Your yard holds far more cars than you sell in a month.

Which two problems are most likely?

PICK TWO

- ✔ **Cash tied up in stock**
- ✔ **Higher storage costs**
- ○ Lost sales from empty space
- ○ Lower insurance costs
- ○ Running out of cars to sell

Why: Extra stock holds cash and costs money to keep.

Task 3

ROUND 2

Three suppliers quote for 10 cars, delivered.

Order by total cost, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£8,100 a car, £1,200 delivery**
2. **£8,000 a car, £2,500 delivery**
3. **£8,300 a car, £300 delivery**

Why: £82,200, £82,500 and £83,300: the lowest price per car is not the cheapest order.

Task 4

ROUND 2

Just in time, or in case?

Saving a month from JIT?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Spare cars held, just in case	**7 cars**
Holding cost per car a week	**£70**
Extra JIT deliveries, a week	**£200**
Weeks in the month	**4 weeks**

METHOD

Saving = weeks × (spare cars × holding cost − extra deliveries)

4 × (7 × £70 − £200) = £1,160

Why: JIT saves the holding cost, but the extra deliveries cost £800 a month.

Task 5

ROUND 3

Your supplier is two hours away and always on time. Hold 40 cars, or hold 10 and reorder often?

Which should you choose, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Hold 10 and reorder often**
- ○ Hold 40 cars

Why: A reliable, nearby supplier lets you hold less and free up cash.

Task 6

ROUND 3

JIT loses a bulk discount.

Gain a month from JIT? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Cars bought a month	**13 cars**
Price per car	**£8,000**
Bulk discount lost with JIT	**3%**
Holding cost saved a month	**£2,000**

METHOD

Gain = holding cost saved – cars × price × discount lost

13 × £8,000 × 3% = £3,120; £2,000 − £3,120 = −£1,120

Why: Smaller, frequent orders save holding costs but can lose bulk-buying discounts.

Final questions

6
questions for each pupil

159
Level 2 Business questions

4
of them on stock

The game draws 6 of the 159 Level 2 questions; these 4 are about stock.

1 What is an opportunity cost of holding too much vehicle stock?
The cash cannot be used for anything else.

2 A workshop keeps almost no spare parts and orders only when needed. What is the main risk of this just-in-time approach?
A late delivery can stop work.

3 High-value parts repeatedly disappear from stock records. Which control system is most useful?
Restrict access, log movements and reconcile counts with records.

4 A supply chain is every business that helps get a product to the customer. A tyre maker's factory floods. Using this, what happens to a workshop?
Its tyre deliveries may stop, though it did nothing wrong.